originate more of them. Thus they will tend to feed rather than restrain the appetite for risk. Banks cannot, however, sell all risks. They often have to bear the most complicated, hard-to-manage, and volatile portion of the risks they originate. So even though some risk has been moved off bank balance sheets, balance sheets have been reloaded with fresh, more complicated, risks. In fact, the data suggest that despite a deepening of financial markets, banks may not be any safer than in the past. Moreover, the risk they now bear is a small (though perhaps the most volatile) tip of an iceberg of risk they have created.

Perhaps a more important concern is whether banks will be able to provide liquidity to financial markets so that if 'tail' risks do materialize, financial positions can be unwound and losses allocated so that the consequences to the real economy are minimized. Past episodes indicate that banks have played this role successfully. However, there is no assurance they will continue to be able to play the role. In particular, banks have been able to provide liquidity in the past, in part because their sound balance sheets have allowed them to attract the available spare liquidity in the market. But banks today also require liquid markets to hedge some of the risks associated with the complicated products they have created, or guarantees they have offered. Their greater reliance on market liquidity can make their balance sheets more suspect in times of crisis, making them less able to provide the liquidity assurance that they have provided in the past.

Even if the banking system is safe, supervisors and regulators have to be concerned about the rest of the financial system – in the United States, 80 per cent of value is added by the financial sector that is outside the banking system. The non-bank sector is increasingly central to economic activity and is not just a passive holder of assets. Moreover, some non-banks such as insurance companies and some